

ADU Feasibility - First Pass

Explore. 4412 Bluebonnet Ln, Austin TX 78745. Synthetic sample. Rough numbers, not a quote.

Build cost estimate

Item	Assumption	Amount
Size	550 sqft detached 1-bed	
Build cost	\$300/sqft all-in	\$165,000
Includes	Permits, utility hookups, site work	

Rent potential and yield

Metric	Value
Market rent (1-bed, 78745)	\$1,650/mo
Annual gross rent	\$19,800
Gross yield on \$165k	7.6%
Estimated net yield after costs	5 to 6%

Financing check

Metric	Value
Loan (HELOC / construction)	\$165,000 at 7%, 20 yr
Monthly debt service	~\$1,280
Rent coverage	\$1,650 rent covers payment with thin cushion

Cross-domain notes

- Homestead: re-rate the Allstate homeowners policy at the September renewal.
- Wealth: competes with HVAC cash, the \$1M umbrella, the 529, and mortgage prepay; least liquid of the options.
- Tax: rental income reportable; depreciation available; have CPA Maria model it and check the homestead-exemption impact.

Verdict

Clears the bar for a real builder quote, but not this quarter. HVAC (~\$9k) and a July Phoenix trip already make liquidity the theme of the month. Park until the emergency fund rebuilds past \$30k, then get one firm bid on cost per square foot. That single number moves the answer the most.